

Insurance and Risk Management: An Introduction

Agenda

Basics of insurance

Importance of risk
management

Using insurance to protect
your financial well-being

Insurance introduction

Life is unpredictable, financial risks are inevitable and **planning for these risks ensures** your loved ones are protected.

Scenario: Imagine you're 30 years old, *you have a job, a mortgage, and perhaps a family.*

What happens if **something unexpected happens to you?** And

How do you **make sure** your **loved ones** are **financially secure?**

What about financial loss associated with an asset?

Key Takeaway: The **risk of mortality** doesn't just affect us personally—it has financial consequences for those left behind.

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Insurance planning is a **critical** aspect of **personal finance** that **involves safeguarding individuals** and **their families** from the **financial** risks associated with **unexpected events**, such as **death, disability, property damage, or illness**.



F.P also deals with **identifying potential risks** that can disrupt financial goals and **finding ways** to **mitigate these risks** through **insurance products** and **other financial strategies**.



Crucial **for individuals** with dependents or significant **financial responsibilities**



Goal- The primary goal is to **ensure financial stability** and **minimize the economic impact of such events**.



Insurance Regulatory and Development Authority of India (IRDAI)- **Regulator**

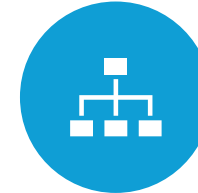
What Would You Insure?



Imagine you can insure *anything*—phone, a pet, or even a concert ticket, investment (**CDS**). Insurance exists to **protect things** that matter to us, from **big to small**.



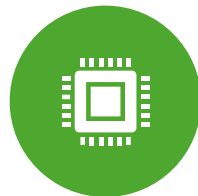
Risk- chance that something bad or unexpected will happen. These risks can vary from **financial risks** (losing money), **physical risks** (getting hurt), and **property risks** (damaging possessions). *planning for the unexpected*.



Identify risks and find ways to reduce or transfer the risk- Risk management.



Example

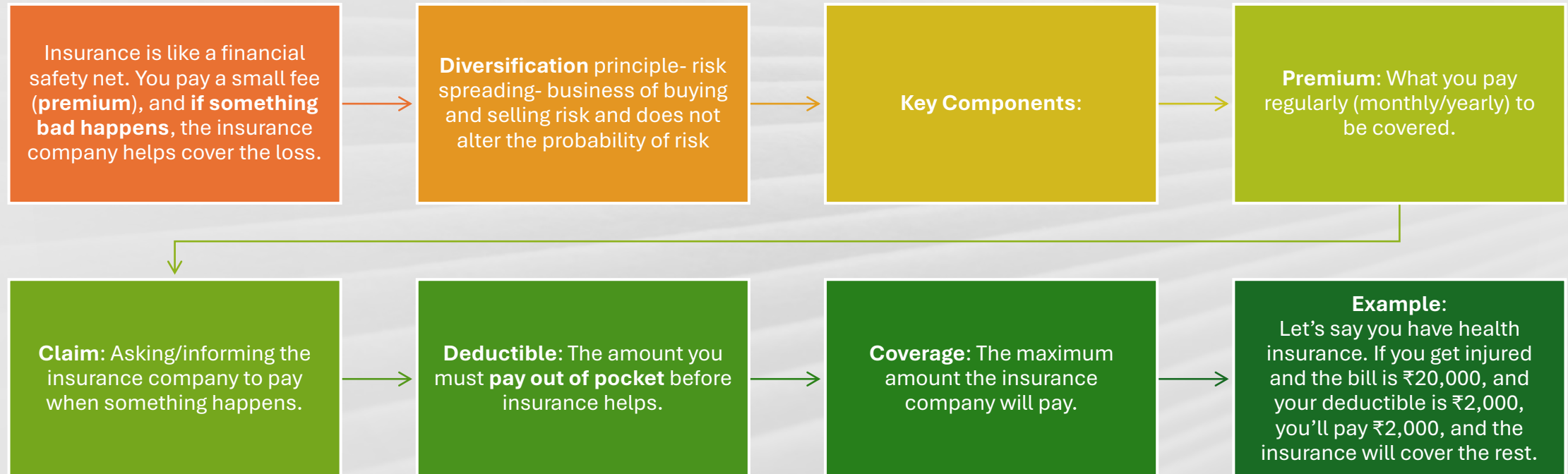


Imagine if you **dropped your phone**. What would be the risk?- Cost of **repair** or **replacement**



ways to manage that risk? > **Phone case, careful use, or...insurance!**

How Does Insurance Work?



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Risk of mortality and Life Insurance Policies:

Two **Major** types of life insurance: **Term and Permanent/whole life insurance**

Basis of categorization: how long the policy can last?, whether it builds cash value, and whether the premiums or death benefit can be variable.

Term Insurance: The Minimalist

- Offers pure protection for a **specific period** (e.g., 10, 20, or 30 years)– specific end date
- The payout to beneficiaries is conditional upon, if something happens
- **If you outlive the term, there's no payout or cash value.******
- That means: Ideal for people who want life insurance coverage for a **specific situation**

Question- Your driving behavior and Term insurance??

- It's like **renting an apartment—great if you need temporary cover**, perfect for those who just want to make sure their loved ones are covered.

Permanent/whole life insurance

It stays with you for your entire life (hence the name), and

it has both a death benefit *and* a savings component that builds cash value over time. So,

it's like having a life insurance policy *and* a savings account.

The guaranteed payout whenever you pass away **adds a comforting sense of security.**

That means whole Life Insurance is **like buying a house**. You build equity (cash value), and it's yours forever, but it **comes with a higher cost (premium).**

Endowment Policy- hybrid (special)



Money Back Policy



The Money Back Policy is like your friend who constantly sends you gifts.



It offers **regular payouts** at **specific intervals during the policy term**- just like annuity



It's like **getting periodic returns on your investment**, plus **a death benefit if something happens to you**.



It's like **having insurance and getting mini bonuses** along the way—a perfect choice if you **want liquidity**

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Choosing the right type of life insurance?

- Depends on the **specific needs, financial goals,** and life stages of an individual

Type of Life insurance at different life stages-

1. **Early Adulthood (Ages 20-30): Starting Out**

Life Stage Characteristics:

- Typically unmarried or recently married.
- Fewer financial responsibilities.
- May have student loans or early-career debts.
- Focus is on building a career and saving.

Best Insurance Option: Term Insurance

- **Why?** It provides high coverage at a low cost—perfect for someone with limited income but looking to secure their family or pay off debts in case of unexpected events.
- **Example:** A 25-year-old software engineer can get a ₹1 crore term policy for 30 years with an annual premium of around ₹8,000. This gives them peace of mind without straining their budget.

Young Family (Ages 30-40): Building a Family and Career

Life Stage Characteristics:

- Married or planning to get married.
- May have young children.
- Significant financial responsibilities: home loan, children's education, and other debts.
- Growing career with moderate savings.

Best Insurance Option: Term Insurance with Higher Coverage or Endowment Policy

- **Why?** With growing family responsibilities, the **need for financial protection increases**. Term insurance with a higher coverage can protect the family from a loss of income. An **endowment policy** may also be a good option if they want to **start saving for children's education or future goals**.
- **Example:** A 35-year-old father with two kids might opt for a ₹1.5 crore term plan or a mix of a term plan and a smaller endowment policy to cover long-term goals like college tuition.

Middle Age (Ages 40-50): Financial Security and Asset Protection

Life Stage Characteristics:

- Likely to have teenage or college-going children.
- Higher financial responsibilities (home loan, education costs).
- May have started building wealth through investments.
- Closer to retirement planning.

Best Insurance Option: Whole Life Insurance or Money Back Policy

- **Why?** At this stage, it's important to ensure lifelong protection and build a financial cushion. **Whole life insurance** provides lifelong coverage and **also builds cash value**, which can act as an asset or borrowing tool. **Money back policies** provide liquidity through regular payouts, which could help with expenses like kids' education or household needs.
- **Example:** A 45-year-old business owner might choose a whole life policy for a mix of long-term protection and savings, ensuring their family's future.

Pre-Retirement (Ages 50 and above): Securing Retirement

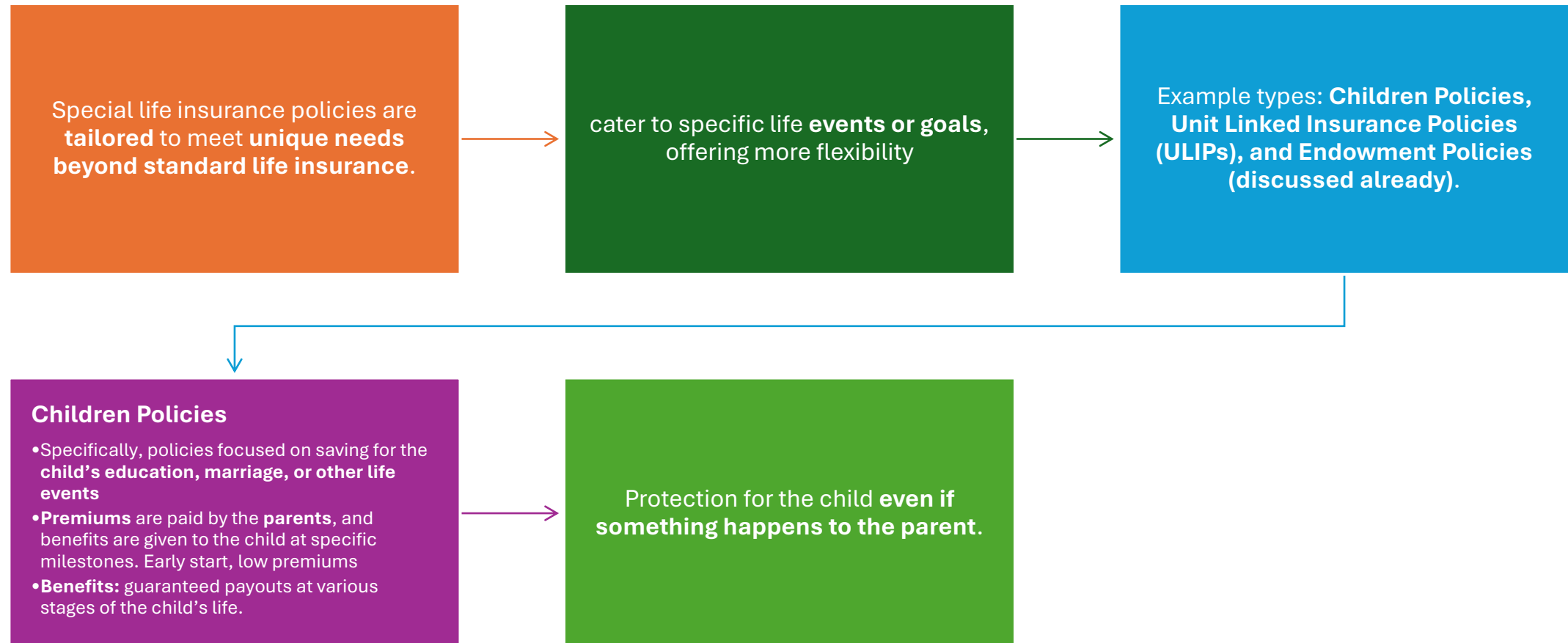
Life Stage Characteristics:

- Children may have grown up or are independent.
- Focus shifts towards retirement planning and wealth preservation.
- Reducing debt, paying off mortgages.
- Likely to have savings, but also considering leaving a legacy.

Best Insurance Option: Whole Life Insurance or Money back policy

- **Why?** As retirement approaches, the goal is to ensure financial security for dependents and possibly leave an inheritance. **Whole life insurance** is ideal as it ensures a payout whenever death occurs and offers cash value. **Money back policy** can provide a regular income during retirement, ensuring stability.
- **Example:** A 55-year-old nearing retirement might opt for a whole life policy to provide for their spouse and use annuity plans for regular income during retirement.

Special Life Insurance Policies



Unit Linked Insurance Policies (ULIPs)

A hybrid policy combining **insurance with investment**

Premiums are **partially invested in equities or bonds**, and the remainder is allocated to insurance cover.

The **policyholder selects** where to invest (stocks, bonds, etc.), and the **value of the policy fluctuates** with the market.

Benefits: Flexibility, potential high returns, tax advantages

Risks: Market risks, higher charges compared to traditional insurance.

Annuity Plan?



Insurance product that provides a steady stream of income, typically after retirement. **Accumulation Phase** and **Payout Phase**:



In simple terms, you pay a **lump sum** or **make periodic payments**, and in return, the insurance company guarantees regular payments to you either for a **fixed period** or for **the rest of your life**.



Primary purpose of an annuity plan is **financial security** during retirement. **Guaranteed Income**

Types of Annuity Plans

Based on the method of payment

Based on Payment Mode

Immediate Annuity:

- You make a lump sum payment, and the payouts begin almost immediately (usually within a year).
- Suitable for **retirees who need a quick, regular income**.

Deferred Annuity:

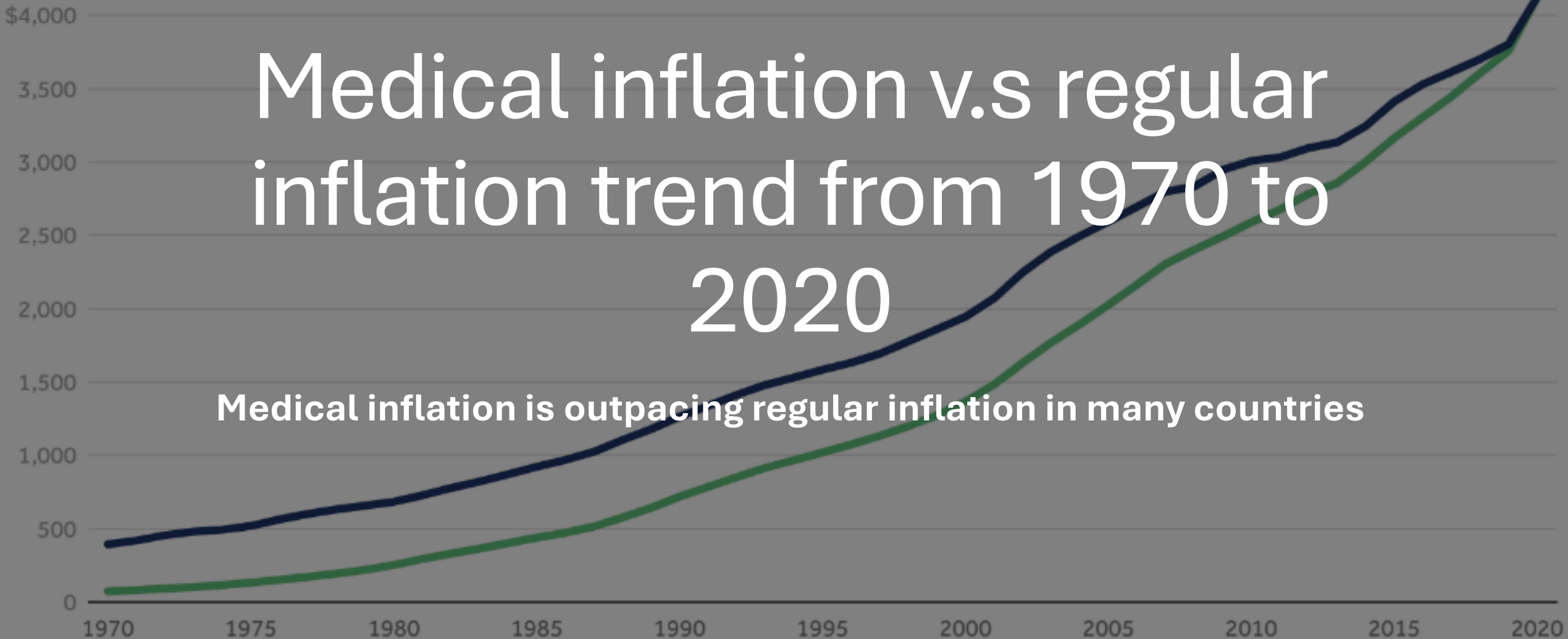
- **You contribute over a period of time**, and the payouts start at a future date, typically after retirement.
- This plan **allows your contributions to grow over time**, offering more substantial payouts later.

Joint-Life Annuity:

Pays income **as long as either you or your spouse is alive**. After both pass away, the payments stop.

Total national health expenditures, US \$ Billions, 1970-2020

— Total National Health Expenditures, in Billions — Constant 2020 Dollars



Medical inflation v.s regular
inflation trend from 1970 to
2020

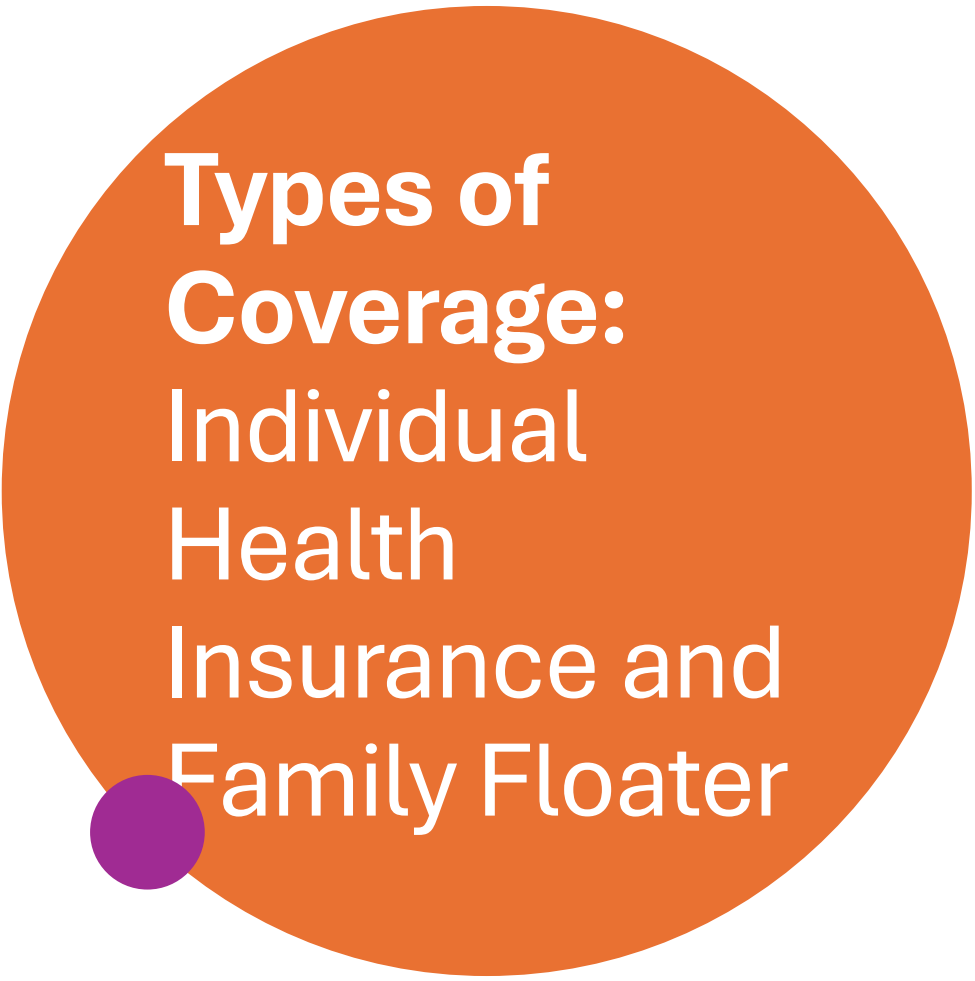
Medical inflation is outpacing regular inflation in many countries

Note: A constant dollar is an inflation adjusted value used to compare dollar values from one period to another.

Health Insurance

- Health insurance is a contract where the **insurer pays** for **medical expenses** due to **illness or injury** in exchange **for a premium**
- It offers financial **protection against unexpected, high medical costs**
- Covers medical costs **such as hospitalization, doctor visits, surgeries, and medications**. Without insurance, one medical emergency **could drain savings**.
- Peace of Mind
- **Preventive Healthcare insurance-** Many health insurance policies **cover routine check-ups, vaccinations, and other preventive care**, helping to catch diseases early and **lower healthcare costs** in the **long run**





Types of Coverage: Individual Health Insurance and Family Floater

Individual Health Insurance

- covers a single person
- ideal for individuals without dependents or those who want separate coverage for each family member.
- **Benefits-** Tailored to an individual's specific health needs (specific health issues).

Family Floater- covers an **entire family under one premium** and a **shared sum insured**. If one family member uses a portion of the coverage, the rest is available for others.

- **Benefits- Cost-effective, Convenience-** one policy for the entire family, easy to manage
- **Decision rule-** Young families with lower health risks.

Claiming health insurance- Cashless facilities in health insurance



Cashless facility allows insured individuals to **receive treatment without paying upfront**. Instead, the insurer settles the hospital bills directly. **Replaces reimbursement claims**



The idea originated **to reduce the financial burden** during medical emergencies, offering immediate relief.



Working process-



Pre-authorization: The insured patient needs to inform the *network hospitals* (those that have agreements with the insurer) about their insurance and request a pre-authorization. Fill **pre-authorization form**

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- **Third-Party Administrators (TPAs):** intermediary between insurance companies and hospitals, facilitating the claim process. TPAs in India- **Medi Assist, Raksha**
- For **planned Hospitalization, Emergency Hospitalization**, prior intimation is not possible and required in cases of emergency hospitalization.

Final Billing: Once the treatment is completed, the insurer directly settles the bills with the hospital, either fully or partially, based on the policy terms

That means the documents required for Approval (usual practice)

- Duly filled pre-authorization form
- Investigation or diagnosis report
- ID proof and health insurance card

Challenges with Cashless Facility

- **Delay in pre-authorization**

Exclusions- Exclusions refer to medical conditions, treatments, or situations that are *not covered* by the insurance policy.

- certain types of **risks and events are excluded**, usually **Intentional actions, Illegal actions, Easy to control, Catastrophic risks-** impact a large number of policyholders simultaneously
- In any health insurance policy, it's crucial to understand the coverage scope, as well as the limitations or "exclusions," and the **options** for extending coverage with "**add-ons**."

Common Exclusions in India:

Many insurance policies do not cover **pre-existing medical conditions (diabetes or hypertension)** for a certain waiting period, usually 2-4 years.

Cont...

Maternity expenses, childbirth, and newborn care are typically excluded in standard health policies, unless a specific maternity add-on is purchased.

Procedures like **cosmetic surgeries**, unless medically necessary (e.g., **reconstructive surgery after an accident**), are not covered

Regular **dental treatments**, corrective lenses, and **routine eye checkups** are generally excluded, although some policies offer riders to cover these.

Injuries or illnesses resulting from **self-harm, alcohol, or drug abuse** are typically not covered under health insurance.

Accidents or injuries that occur during participation in adventure sports

Add-ons or Riders in Health Insurance

Add-ons allow policyholders to **enhance** their **base insurance** plan by **covering additional risks** that are not part of the standard policy.

- **Critical Illness Rider-** helps to **handle long-term care or expensive treatments** that are usually not fully covered by basic policies.

Example- cancer, heart attacks, kidney failure, or stroke. **Upon diagnosis of a listed critical illness, a lump sum amount is provided to the insured**

- **Personal Accident Rider:** useful for individuals with **jobs that involve a higher risk of accidents**
- **Maternity Add-on-** Covers **expenses related to pregnancy and childbirth**, including prenatal care, delivery, and postnatal care
- **Hospital Cash Add-on:** Provides a **daily cash allowance if the insured is hospitalized. Covers-non-medical costs** like food, transportation, or loss of income during hospitalization

Add-ons in general **help- tailor a policy for specific life stages,**

Motor Insurance

- Motor insurance is a **contract between a vehicle owner** and an **insurance company** that provides **financial protection** in case of **accidents, theft, or other damages**
- In **India**, motor insurance is **mandatory by law** under the Motor Vehicles Act, 1988.

Types of Motor Insurance- 3-parties involved

- **Liability Only Policy:** Required by law, covers **third-party** liabilities (injuries, death, property damage).

Claimant seeks financial compensation for damages or injuries caused by the insured party's actions or negligence.



Cont...

- Protects the insured party by providing financial assistance for legal, defense costs and settlement or judgment amounts resulting from the claim
- provides **a means of holding the responsible party accountable for their actions or negligence.**

Documentation: as an evidence to support the claim- photographs, witness statements, police reports, medical records, or any other relevant information that substantiates the damages or injuries suffered

Package Policy (Comprehensive): Own damage and third party

- Covers not only **third-party liabilities** but also **damages to the insured vehicle**.
- Coverage extends to accidents, theft, natural disasters (flood, earthquakes).
- **Add-on benefits (depreciation)**- IDV (insured depreciated value), go for zero depreciation cover, engine cover
- **Claims**- online and off site support

Pay per usage or usage based insurance (UBI)- new product- during late COVID. Also how safe a driver's habits are- The better the driver, the better the discount on premium. Parameters- how fast you drive, how hard you brake, and how many miles you drive. save **10% to 15%** annually. **Telematics box**- data collection

- ideal for some students, retirees, stay-at-home parents

Exclusions

A background image showing a hand holding a clear glass bottle of alcohol, likely vodka, in front of a car's steering wheel. The bottle is partially filled with a clear liquid. The hand is positioned as if about to drink or has just finished drinking. The steering wheel and dashboard are visible in the background, slightly out of focus.

- General Wear and tear- servicing-
- Drugs, alcohol and licence
- **Local service**- tempering of original product

Renew-

- **Online**- comparing features of different companies- policybazar.com
- Renewing and online motor insurance premium calculator.

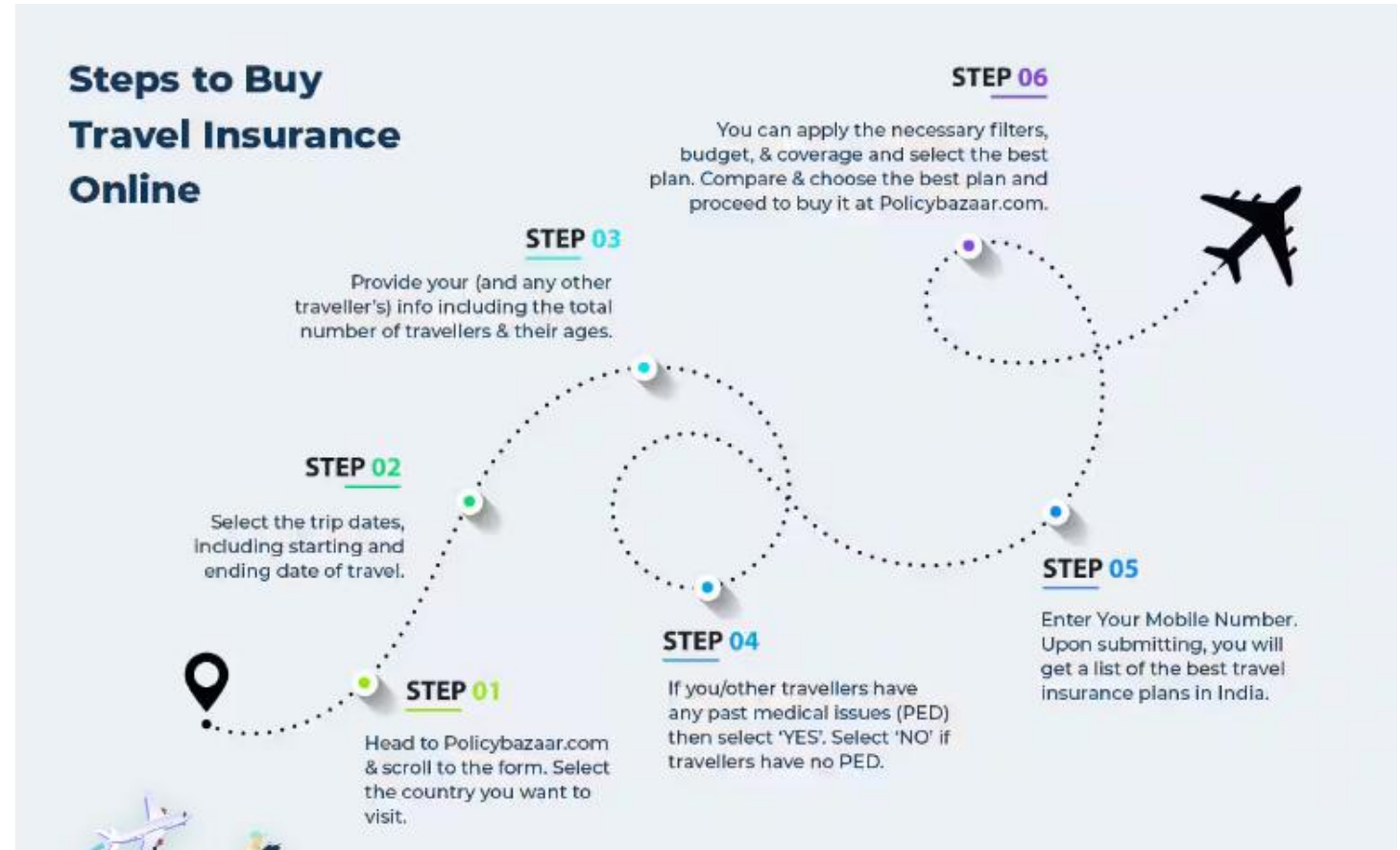
Introduction to Travel, Property, and General Insurance



- Have you ever faced a **problem while traveling** (e.g., **missed flight, lost baggage, or medical emergency**, passport loss, hijack, accidental death)
- Travel Insurance protects entire journey from major financial loss due to emergencies- **Foreign and domestic trips**
- insurance **protects** individuals/families from **such uncertainties**
- Mandatory for VISA issuance for some countries
- relevance in India's growth story- **rising middle class.**

Travel Insurance types and How to buy it

- International travel insurance
- Europe travel insurance
- Family travel insurance
- Domestic travel insurance



How to File a Travel Insurance Claim

Buying the best travel insurance is not your only responsibility as a traveller. You should also know the procedure to file a timely travel insurance claim. Follow the steps to register a travel insurance claim if required:

- Inform the insurer or TPA of the insurer via phone or email about your claim.
- Ask about documents you need to submit to support your claim.
- Send all the required documents to the insurer via email, fax, or post
- After document submission, the insurer will verify your claim, as per the travel insurance policy.

Property and General Insurance

Importance for **Homes and Businesses**

Coverage

Fire: Damage from fires.

Theft: Compensation for stolen items.

Natural Disasters: Earthquakes, floods, etc., common in certain regions of India (like Kerala, Uttarakhand).

Common Exclusions:

- Wear and tear.
- War-related damages.
- Specific conditions for high-value assets like art collections.

Cont....



Secures the **structure along with its content** against unwanted events like fire, theft, natural calamities (storm, cyclone, etc.) or man-made activities (riots and terrorism).



The **Insurance Regulatory and Development Authority of India (IRDAI)** has made it **mandatory** for every **insurer** to offer a **standard home insurance policy** known as **Bharat Griha Raksha** from April 1, 2021.

Tax planning and insurance

plan your taxes right from the **start of the year**

Insurance policies serve as one of the **most effective tax-planning tools.**

These investment-cum-[savings plans](#) offer you the opportunity to build a **corpus**, provide **financial security** to you and your loved ones in case of a **mishap**, and help you boost your **tax efficiency**.

Under Section 80C- maximum 1.5 Lakh against premiums paid for a [life insurance policy](#) (including term plans, endowment policies, ULIPs) in the same financial year. Eligible to claim deductions for policies that **protect yourself**, your spouse, your **children**, or another member of your **Hindu Undivided Family (HUF)**. For NRIs too

payouts received from life insurance policies also offer tax benefits- **Section 10(10D)**: only if the premium is less than 10% of the sum assured.

Tax Benefits on Health Insurance Policies

- **Under Section 80D**
- Premiums paid for health insurance policies (for self, spouse, children, and parents) are eligible for tax deductions- **₹25,000** for individuals below 60 years and **₹50,000** for senior citizens (parents)

New budget and tax regimes



Finance Act, 2020 has introduced alternative **optional low rate Tax regime**



does not allow the **existing deductions and exemptions except a few.**



deductions/exemptions exceeding break-even point of Rs.250000/- at income level of Rs. 15 lakhs and more (similarly at lower level of income), old regime shall always be better.